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Frank Spencer
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Mercedes Enrique
Scaling to $500M in bonding growing business Internationally

Here are the **Top 10 Key Takeaways** from the interview titled *"Scaling to $500M in Bonding, Growing Business Internationally"* with **Mercedes Enrique, President of CMS Corporation:**

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1. Strategic Use of the SBA 8(a) and Mentor-Protégé Programs

Mercedes leveraged early advice from a federal official to pursue the **SBA Mentor-Protégé Program**, allowing CMS to scale rapidly by combining resources and past performance with a more established mentor. They became the first Mentor-Protégé-approved firm in Indiana within 6 months of starting.

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2. Targeted Entry into Federal Contracting from Day One

CMS was intentionally founded to enter **federal construction contracting**. Mercedes and her partner clearly defined their market (Army, Navy, Air Force) and aligned all business infrastructure to meet those agency demands.

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3. Rapid Growth Through IDIQ Contracts and Bonding Capacity

CMS strategically used **Indefinite Delivery/Indefinite Quantity (IDIQ)** contracts to build a predictable revenue stream and increase their **bonding capacity**—growing from $250,000 to $500 million over time.

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4. Importance of a Mid-Sized Mentor

A “mid-market” mentor (a business recently graduated from small business status) is ideal: **big enough to offer resources but small enough to still care about small business set-aside contracts**.

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5. Self-Performance Capability as a Differentiator

CMS retained mechanical construction expertise, enabling them to **self-perform portions of contracts**, adding tangible value to joint ventures and prime contracting bids.

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6. International Expansion by Following the Client

CMS followed federal agencies (mainly the Air Force) globally, delivering projects in **Spain, Korea, Japan, Puerto Rico, Guam, and the Bahamas** through IDIQ awards.

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7. Transition Strategy from Small to Mid-Market

CMS prepared for “graduation” from small business status years in advance by:

- Winning **IDIQs before outgrowing** the size threshold.
- Building **JV partnerships** to stay competitive on larger bids.
- Ensuring a strong **pipeline of task orders** even after losing small business preferences.

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8. Advocacy for Mid-Market Businesses (The "Pilot Coalition")

Mercedes co-founded the **Pilot Coalition** to push legislation (like the **SUCCESS Act**) supporting mid-sized businesses, which often **"fall off a cliff"** after outgrowing small business size standards. The goal is to establish a federal framework for supporting this underserved market.

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9. Long-Term Mindset and "Abundance Thinking"

A core theme of CMS's success: avoid a scarcity mindset. Mercedes advocates for **win-win JV partnerships**, fair revenue sharing, and building enduring industry relationships instead of viewing others as competitors.

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10. Federal vs. Commercial Strategy

CMS deliberately split off its **commercial division into a separate entity** to avoid diluting federal focus. She warns that trying to pursue both markets under the same structure is usually **inefficient and ineffective** due to vastly different cost and compliance expectations.

Would you like a visual summary or slide version of these takeaways?

Here are the **Top 10 Key Takeaways** from the interview titled *"Scaling to $500M in Bonding, Growing Business Internationally"* with Mercedes Enrique, President of CMS Corporation:

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